

NYC Rideshare Driver Economics Analysis: Impact of Congestion Pricing on Uber & Lyft Drivers

Maithili Wade | June 2026

Context:

This analysis examines the impact of NYC's congestion pricing policy, launched January 5, 2025, on Uber and Lyft driver earnings across New York City's five boroughs. The goal was to determine whether drivers benefited from, were neutral to, or were harmed by the policy and whether the impact varied by borough or platform. The analysis uses real NYC Taxi & Limousine Commission (TLC) High Volume For-Hire Vehicle trip data, sampling 500,000 trips per month across Q4 2024 (before congestion pricing) and Q1 2025 (after), totaling approximately 3 million trips processed in BigQuery.

Key Findings:

- After congestion pricing launched, average passenger fares dropped from \$26.79 to \$25.38 (-5.3%), while average driver pay fell from \$20.76 to \$19.16 (-7.7%), drivers absorbed a larger share of the decline than passengers, pushing the overall driver take rate down from 79.2% to 75.3%.
- Manhattan drivers were hit hardest, with their take rate falling 5 percentage points from 75.1% to 70.1%, the lowest of any borough, despite Manhattan passengers paying the highest average fares at \$29.10. The congestion fee of \$1.117 per trip flowed to the government and platform, not to drivers.
- Uber drivers were more adversely affected than Lyft drivers, Uber's take rate fell 5.5 points (80.5% to 75.0%) while Lyft's take rate remained nearly flat (75.3% to 75.9%), suggesting the two platforms made different fare restructuring decisions in response to the policy.
- Despite the earnings drop, Manhattan still offers the highest earnings per mile at \$5.80 after congestion pricing, while Queens offers the lowest at \$4.45 per mile despite having the longest average trips at 6.2 miles.

Recommendations:

- Implement a Manhattan driver earnings adjustment, a borough-specific pay premium for drivers operating in the congestion zone would offset the structural disadvantage created by the policy, where congestion fees inflate passenger costs without benefitting drivers.
- Build a payment intervention system for early churn signals, drivers experienced repeated low-earning trips in Manhattan may reduce their availability in the borough, worsening rider times. Uber and Lyft should monitor borough-level driver supply post-congestion pricing and intervene proactively.
- Conduct a fare restructuring review, Lyft's ability to maintain driver take rate while Uber's declined suggests platform-level pricing decisions significantly impact driver outcomes.

Uber should audit its post-congestion pricing fare algorithm to identify whether drivers are being fairly compensated relative to fare changes.

Caveats:

- This analysis uses a 500,000 row samples per month rather than the full dataset of ~20 million monthly trips. While the sample is large enough for meaningful analysis, edge cases and borough-level granularity may differ slightly from full population results.
- The before period (Q4 2024) includes October through December, which may have seasonal patterns, holiday demand in December, for example, that could influence the comparison with Q1 2025. A cleaner before/after would use the same quarter across years.
- Correlation does not imply causation, the drop in driver pay and fares after January 2025 coincides with congestion pricing but could also reflect seasonal demand changes, broader economic factors or platform algorithm updates unrelated to the policy.